TASK 2.14 ☺☺☺Groupwork Discussion [LO 3; AS 3.3]

2.14.1 It has been credited (reduced). The vehicle has been sold so the account must reflect this.
2.14.2 It has been debited (reduced). The vehicle has been sold so the account must reflect this.
2.14.3 It brings together all the entries to do with the vehicle and the sale thereof – matching principle. It is then easier to work out if a profit or loss has been made on the sale.
2.14.4 No.
2.14.5 Dr Bank and Cr Asset disposal

TASK 2.15 ☺☺☺Groupwork Discussion [LO 3; AS 3.3]

2.15.1 Balanced off by calculating the profit on the sale of the asset.
2.15.2 You made a profit – sold the asset for R5 000 more than the book value.
2.15.3 In order to balance / close off the books and to reflect that you received a profit.
2.15.4 Profit on sale is an income account – hence gets reflected on the Cr side.
2.15.5 Only the profit on sale has a balance. The vehicle and accumulated depreciation have been closed off.
2.15.6 Closed off to the Profit and Loss Account at the end of the financial year.

TASK 2.16 ☺☺☺Groupwork Discussion [LO 3; AS 3.3]

2.16.1 Only the cost price of the vehicle been sold must be credited to the Vehicles account.
2.16.2 Only the accumulated depreciation on the vehicle being sold must be debited to the account.
2.16.3 R16 000 (R40 000 – R24 000).
2.16.4 You made a loss on the sale – the asset was sold for R4 000 less than the book value.
2.16.5 Closed off the Profit and Loss account at the financial year end.
2.16.6 Balanced off to show the balance of the vehicle still remaining.
2.16.7 Because you still have another vehicle in the business.
2.16.8 Because it was sold for cash – recorded in the CRJ.

SUMMARY OF THE ENTRIES TO RECORD THE DISPOSAL OF AN ASSET:

- Transfer the **COST PRICE** of the asset to the Asset Disposal Account.
- Transfer the **ACCUMULATED DEPRECIATION** to the Asset Disposal Account.
- Record the **SELLING PRICE.** (If the asset is sold for cash the contra will be bank but if sold on credit then the contra will be debtors' control.)
- Calculate the **PROFIT OR LOSS** on the sale of the asset – the difference between the book value and the selling price.

TASK 2.17 ☺ [LO 3; AS 3.3]

Note to the Teacher:
This task is a good exercise to distinguish between the different values. Make sure the learners understand the differences.

DETAILS	AMOUNT
Cost price of vehicle sold	R30 000
Accumulated depreciation on vehicle sold	R21 000
Book value of vehicle sold	R9 000
Selling price of vehicle sold	R12 000
Profit / Loss on sale of the vehicle sold	R3 000 Profit
Cost price of the equipment sold	R8 000
Accumulated depreciation on equipment sold	R3 000
Book value of equipment sold	R5 000
Selling price of equipment sold	R3 500
Profit / Loss on sale of equipment sold	R1 500 Loss